DOCUMENT 14: BOARD RESOLUTION APPROVING LOAN

Rcubes Technologies Pvt Ltd

Extract of Minutes of Board Meeting

Meeting Date: 15 May 2024

Meeting Time: 11:00 AM IST

Meeting Venue: Registered Office, Chennai

CIN: U72900TN2018PTC124567

MEETING DETAILS

Particulars	Details
Meeting Number	48th Board Meeting
Financial Year	2024-25
Date	15 May 2024
Time	11:00 AM to 1:30 PM
Venue	Registered Office, 42 Tech Park, OMR, Chennai
Mode	Physical
Quorum	Present (3 Directors)

ATTENDANCE

Directors Present

S.No	Name	DIN	Designation	Mode
1	Arun Kumar	01234567	Managing Director	Physical
2	Priya Sharma	01234568	Whole-time Director	Physical
3	Rajesh Menon	01234569	Non-executive Director	Physical

Directors Absent

S.No	Name	DIN	Designation	Reason
1	Dr. Lakshmi Narayanan	01234570	Independent Director	Prior commitment
2	Sunita Reddy	01234571	Independent Director	Health reasons

Others Present

Name	Designation	Role
Venkat Krishnan	Company Secretary	Secretary to the Board
Ramesh Iyer	Statutory Auditor	Special Invite
Suresh Patel	Legal Advisor	Special Invite

PROCEEDINGS

Item 1: Confirmation of Minutes

The minutes of the 47th Board Meeting held on 15 February 2024 were confirmed as correct records.

Item 2: Review of Financial Performance

The Board reviewed the audited financial results for FY2024: - Revenue: ₹6.80 Crore (33% growth) - EBITDA: ₹1.92 Crore (28.2% margin) - Net Profit: ₹1.35 Crore (19.9% margin)

Item 3: Discussion on Business Expansion

The Managing Director presented the business expansion plan including: - SaaS infrastructure scaling requirements - Hiring plan for 15 additional engineers - US market entry strategy

Item 4: Loan Proposal Discussion

The CFO presented the detailed loan proposal for ₹2.5 Crore term loan. Key terms discussed: - Loan Amount: ₹2,50,00,000 - Purpose: Infrastructure, Hiring, US Expansion - Tenure: 5 years - Expected Interest Rate: 10.5% - 11.5% - Security: Hypothecation of assets + Personal guarantees

---

RESOLUTIONS PASSED

Resolution No. 48/2024/01

Subject: Approval for Availing Term Loan
Proposed by: Arun Kumar
Seconded by: Priya Sharma
Resolved that:

1. The Company be and is hereby authorized to avail a **Term Loan of ₹2,50,00,000 (Rupees Two Crore Fifty Lakhs only)** from **HDFC Bank Ltd** or any other scheduled bank/financial institution offering favorable terms.
2. The loan shall be utilized exclusively for the following purposes:
   - ₹1,00,00,000 for SaaS infrastructure expansion (AWS/Azure reserved instances, DR setup, security)
   - ₹1,00,00,000 for hiring 15 additional engineers (recruitment, salaries, infrastructure)
   - ₹50,00,000 for US market expansion (incorporation, office setup, marketing, sales)
3. The loan shall be repaid over a period of **5 years (60 months)** through Equated Monthly Installments (EMI) of approximately **₹2,66,667 per month** (₹32,00,000 annually).
4. The Company shall offer the following securities:
   - First charge by way of hypothecation on all current assets (book debts, inventory)
   - First charge by way of hypothecation on all movable fixed assets
   - Personal guarantees of Arun Kumar (Managing Director) and Priya Sharma (Whole-time Director)
   - Corporate guarantee of the Company
5. The Managing Director and/or CFO be and are hereby authorized severally to:
   - Negotiate and finalize terms with the lender
   - Execute loan agreements, security documents, and other necessary papers
   - Create charges on assets of the Company
   - Do all acts and deeds necessary for availing the loan
6. The Company shall comply with all covenants, conditions, and reporting requirements stipulated by the lender.

Voting:
For: 3 (Arun Kumar, Priya Sharma, Rajesh Menon)
Against: 0
Abstained: 0
Result: Unanimously Approved

Resolution No. 48/2024/02

Subject: Authorization for Creating Charge on Assets

Resolved that:

The Board approves the creation of charge on the assets of the Company as security for the term loan and authorizes the Company Secretary to file necessary forms with the Registrar of Companies within prescribed timelines.

Voting: Unanimously Approved

Resolution No. 48/2024/03

Subject: Approval of Business Plan

Resolved that:

The Business Plan for FY2025 including revenue projections of ₹9.50 Crore and expansion strategy be and is hereby approved.

Voting: Unanimously Approved

COMPLIANCE CHECKLIST

Compliance	Status	Remarks
Quorum	✅ Present	3/5 Directors present
Notice Period	✅ Compliant	7 days notice given
Minutes Recording	✅ Done	By Company Secretary
Resolution Numbering	✅ Sequential	48/2024 series
Voting Record	✅ Documented	Unanimous approval
Disclosure of Interest	✅ None	No related party interest

ACTION ITEMS

S.No	Action	Owner	Deadline
1	Submit loan application to HDFC Bank	Priya Sharma	20-May-2024
2	Prepare security documentation	Legal Advisor	25-May-2024
3	File CHG-1 with ROC	Venkat Krishnan	Within 30 days of charge creation
4	Update statutory registers	Venkat Krishnan	30-May-2024
5	Communicate resolution to bank	Priya Sharma	16-May-2024

CLOSURE

The meeting concluded at 1:30 PM with a vote of thanks to the Chair.

Certified True Copy

Venkat Krishnan

Company Secretary

Membership No.: A12345

Date: 16 May 2024

Arun Kumar

Chairman of the Meeting